

NovaTech Solutions Pvt. Ltd.

Employee HR Policy Manual — FY 2024-25 | Version 3.2 | Confidential

Section 1: Employment Terms

1.1 Probation Period

All new employees at NovaTech Solutions are subject to a probation period of **6 months** from their date of joining. During the probation period, either party may terminate employment with a notice period of **15 days**. Confirmation is subject to a satisfactory performance review by the reporting manager and HR Business Partner.

1.2 Notice Period

Post-confirmation, the standard notice period is **60 days** for all employees up to Senior Manager level. For Associate Director and above, the notice period is **90 days**. Notice period buyout is permitted at basic salary per day, subject to management approval.

1.3 Working Hours

Standard working hours are **9 hours per day**, Monday to Friday. Core hours are 10:00 AM to 5:00 PM IST. Flexible start is permitted between 8:00 AM and 10:30 AM. Work from Home (WFH) is permitted up to **2 days per week** for confirmed employees.

Section 2: Leave Policy

2.1 Annual Leave (Earned Leave)

All confirmed employees are entitled to **18 days of Annual Leave (AL)** per calendar year, accrued at 1.5 days per month. Annual leave may be carried forward up to **30 days**. Leave encashment is permitted for up to 10 days per year during the annual appraisal cycle. Employees on probation are not eligible for Annual Leave.

2.2 Sick Leave

Employees are entitled to **12 days of Sick Leave (SL)** per calendar year. Sick Leave is not carried forward and lapses at year-end. For sick leave exceeding 3 consecutive days, a medical certificate from a registered practitioner is mandatory. Sick Leave cannot be encashed.

2.3 Maternity Leave

In accordance with the Maternity Benefit (Amendment) Act, 2017, female employees are entitled to **26 weeks (182 days) of paid Maternity Leave** for the first two children. For the third child onwards, the entitlement is 12 weeks. Applicable only for employees who have worked at least 80 days in the preceding 12 months. An additional **8 weeks** may be sanctioned for medical complications, subject to documentation.

2.4 Paternity Leave

Male employees and co-parents are entitled to **10 days of paid Paternity Leave** within 3 months of the birth or adoption of a child. Must be applied at least 2 weeks in advance except in emergencies.

2.5 Casual Leave

Employees are entitled to **6 days of Casual Leave (CL)** per calendar year. Casual Leave cannot be combined with other leave types to create periods of more than 3 consecutive days without prior written HR approval.

2.6 Bereavement Leave

For demise of immediate family (spouse, children, parents, siblings): **5 days paid**. For extended family (grandparents, in-laws): **3 days paid**. Must be notified to manager and HR at the earliest opportunity.

2.7 Public Holidays

NovaTech observes **12 mandatory public holidays** per year as declared by the Maharashtra State Government, plus 2 optional restricted holidays from the approved list. Holiday calendar is published by HR by November 30 each year.

Section 3: Compensation and Benefits

3.1 Salary Structure

The salary structure at NovaTech comprises the following components:

Component	% of CTC	Tax Treatment
Basic Salary	40%	Fully Taxable
House Rent Allowance (HRA)	20%	Partially Exempt (Sec 10(13A))
Special Allowance	20%	Fully Taxable
Performance Bonus	10%	Fully Taxable
Provident Fund (Employer)	5%	Exempt up to limits
Gratuity (Employer)	3%	Exempt up to Rs. 20 lakhs
Medical Reimbursement	2%	Exempt up to Rs. 15,000 p.a.

3.2 Performance Appraisal Cycle

Appraisals are conducted **annually in April**. Process: self-assessment, manager rating, calibration. Salary revisions effective **1st April** are communicated by March 31. Mid-year promotions may be considered in October for exceptional performers.

3.3 Employee Provident Fund (EPF)

NovaTech contributes **12% of Basic Salary** towards EPF per the EPF Act, 1952. Employee contribution is also 12% of Basic Salary. Voluntary PF (VPF) contributions up to 100% of Basic + DA are permitted.

Section 4: Code of Conduct

4.1 Workplace Harassment Policy

NovaTech has a zero-tolerance policy for workplace harassment including sexual harassment, bullying, and discrimination. Complaints must be submitted to the Internal Complaints Committee (ICC) within **3 months** of the incident. ICC completes inquiry within **90 days**.

4.2 Confidentiality and Data Security

All employees must sign the NDA before joining. Confidential data must not be shared externally without written Legal approval. Violations may result in immediate termination and legal action under the IT Act, 2000.

4.3 Disciplinary Action

Disciplinary process: (1) Verbal Warning, (2) Written Warning with PIP of **30 to 90 days**, (3) Termination. Gross misconduct (fraud, violence, substance abuse on premises) may result in immediate termination without warning.

This policy supersedes all previous HR policy versions. Queries: hr@novatech.in or raise a ticket on the HR portal.